

Management. (In the '80s, Edper controlled 15 percent of the Toronto Stock Exchange.) And rounding out the top five is Albert Frère, currently the richest man in Belgium, who controls the holding company Groupe Bruxelles Lambert.

“Those five groups have been instrumental in how I think about holding companies,” Todd said. “And that takes you from the 1880s to today.” He finds the history helpful, as it shows the good holding companies are business builders.

He notes that wealth creation — real wealth creation, “not flying-firstclass wealth, but having-libraries-named-after-you kind of wealth” — comes from owning and operating and building businesses and having a long-term commitment. “And that’s what I see in the Brookfields, the Loews and the Leucadias.”

Todd began to build his own list of holding companies in earnest in 2000 when he first came across Albert Frère. The market valued Groupe Bruxelles Lambert (GBL) based on its public holdings only. But it owned a 25 percent stake in Bertelsmann, the German media company, which was then private. If that went public, GBL would triple. Because of multiple holdings, these companies can be complex. They don’t fit in easy Wall Street boxes and largely go unfollowed. This creates opportunities sometimes to buy them cheap.

Intrigued, Todd started looking for more names like Groupe Bruxelles Lambert. Over the years, any time he saw a story or article about a group or holding company, he would add it to his database. In 2007, he started to think more seriously about how this idea could work as a stand-alone investment strategy. By that time, he had about 50 or so names. Ever since, he’s been adding more as he finds them. Now he’s up to 113. The characteristics of this group are interesting.

“I have 18 that are North American, 12 that are in the US,” he said at the time. “The lion’s share is outside of the US.” He said he wouldn’t invest in the US stocks unless they got hammered. So the T. F. Ryan Portfolio began as an international portfolio out of the gate. Holdings would include Sweden’s AB Kinnevik, France’s Bolloré Group, Canada’s Dundee Corp.

and Hong Kong’s First Pacific Co.

Todd loves the frontier markets. But he’s not ready to have a holding company that’s based in, say, Kazakhstan, even though he may